11. INCOME TAXES

The Company files a consolidated U.S. income tax return that includes its more than 80%-owned U.S. subsidiaries. The consolidated U.S. income tax return does not include the activities of New Valley. New Valley files a consolidated U.S. income tax return that includes its more than 80%-owned U.S. subsidiaries. The amounts provided for income taxes are as follows:

	Year Ended December 31,		
	2004	2003	2002
Current:			
U.S. Federal	$ 4,252	$ —	$ (7,774)
State	3,018	3,888	2,296
	$ 7,270	$ 3,888	$ (5,478)
Deferred:			
U.S. Federal	$ (14,667)	$ (4,143)	$ (2,674)
State	437	(411)	1,759
	(14,230)	(4,554)	(915)
Total benefit	$ (6,960)	$ (666)	$ (6,393)

The tax effect of temporary differences which give rise to a significant portion of deferred tax assets and liabilities are as follows:

	December 31, 2004		December 31, 2003	
	Deferred Tax Assets	Deferred Tax Liabilities	Deferred Tax Assets	Deferred Tax Liabilities
Excess of tax basis over book basis-non-consolidated subsidiaries	$ 14,634	$ 22,224	$ 9,406	$ 16,754
Deferral on Philip Morris brand transaction	—	103,100	—	103,100
Employee benefit accruals	16,584	2,787	12,549	1,743
Book/tax differences on fixed and intangible assets	—	18,641	—	18,329
Other	3,729	3,707	16,193	4,001
U.S. tax loss and contribution carryforwards — Vector	7,155	—	6,170	—
U.S. tax credit carryforwards — Vector	3,257	—	3,178	—
U.S. tax loss carryforwards — New Valley	65,073	—	—	—
U.S. tax and capital loss carryforwards — New Valley	—	—	66,894	—
U.S. tax credit carryforwards — New Valley	13,512	—	13,512	—
Valuation allowance	(83,130)	—	(95,374)	—
	$ 40,814	$ 150,459	$ 32,528	$ 143,927

The Company provides a valuation allowance against deferred tax assets if, based on the weight of available evidence, it is more likely than not that some or all of the deferred tax assets will not be realized. The Company has established a valuation allowance against deferred tax assets of $83,130 at December 31, 2004, which relates to the deferred tax assets of New Valley.

The valuation allowance of $83,130 at December 31, 2004 consisted primarily of a reserve against New Valley's net operating loss and tax credit carryforwards of $160,500 and $13,600, respectively. In 2004, New Valley recognized $9,000 of deferred tax

assets based on its management's belief that it is more likely than not that such deferred tax assets will be realized based upon a projection of taxable income for 2005. New Valley's management will continue to monitor New Valley's unrealized deferred tax assets in the future and determine whether any additional adjustments to the valuation allowance are warranted.

As of December 31, 2004, the Company and its more than 80%-owned subsidiaries had U.S. net operating loss carryforwards of approximately $17,000 and charitable contribution carryforwards of approximately $3,000 which expire at various dates from 2007 through 2024. The Company and its more than 80%-owned subsidiaries also had approximately $2,143 of alternative minimum tax credit carryforwards, which may be carried forward indefinitely under current U.S. tax law, and $1,113 of general business credit carryforwards, which expire at various dates from 2021 through 2023.

As of December 31, 2004, New Valley and its consolidated group had U.S. net operating loss carryforwards of approximately $160,500 for tax purposes, which expire at various dates from 2006 through 2024. New Valley also has approximately $13,500 of alternative minimum tax credit carryforwards, which may be carried forward indefinitely under current U.S. tax law.

Differences between the amounts provided for income taxes and amounts computed at the federal statutory tax rate are summarized as follows:

	Year Ended December 31,		
	2004	2003	2002
Loss from continuing operations before income taxes	$ (2,921)	$ (16,798)	$ (38,212)
Federal income tax benefit at statutory rate	(1,022)	(5,879)	(13,374)
Increases (decreases) resulting from:			
State income taxes, net of federal income tax benefits	2,256	2,265	2,628
Non-deductible expenses	4,320	3,565	4,397
Equity and other adjustments	(270)	1,314	6,068
Changes in valuation allowance, net of equity and tax audit adjustments	(12,244)	(1,931)	(6,112)
Benefit for income tax	$ (6,960)	$ (666)	$ (6,393)

Income taxes associated with discontinued operations have been shown net of the utilization of the net operating loss carryforwards and the changes in other deferred tax assets.

The consolidated balance sheets of the Company include deferred income tax assets and liabilities, which represent temporary differences in the application of accounting rules established by generally accepted accounting principles and income tax laws. As of December 31, 2004, the Company's deferred income tax liabilities exceeded its deferred income tax assets by $109,645. The largest component of the Company's deferred tax liabilities exists because of differences that resulted from a 1998 and 1999 transaction with Philip Morris Incorporated where a subsidiary of Liggett contributed three of its premium cigarette brands to Trademarks LLC, a newly-formed limited liability company. In such transaction, Philip Morris acquired an option to purchase the remaining interest in Trademarks for a 90-day period commencing in December 2008, and the Company has an option to require Philip Morris to purchase the remaining interest for a 90-day period commencing in March 2010. (See Note 19.)

In connection with the transaction, the Company recognized in 1999 a pre-tax gain of $294,078 in its consolidated financial statements and established a deferred tax liability of $103,100 relating to the gain. Upon exercise of the options during the 90-day periods commencing in December 2008 or in March 2010, the Company will be required to pay tax in the amount of the deferred tax liability, which will be offset by the benefit of any deferred tax assets, including any net operating losses, available to the Company at that time. In connection with an examination of the Company's 1998 and 1999 federal income tax returns, the Internal Revenue Service issued to the Company in September 2003 a notice of proposed adjustment. The notice asserts that, for tax reporting purposes, the entire gain should have been recognized in 1998 and in 1999 in the additional amounts of $150,000 and $129,900, respectively, rather than upon the exercise of the options during the 90-day periods commencing in December 2008 or in

March 2010. If the Internal Revenue Service were to ultimately prevail with the proposed adjustment, it would result in the potential acceleration of tax payments of approximately $121,000, including interest, net of tax benefits, through December 31, 2004. These amounts have been previously recognized in the Company's consolidated financial statements as tax liabilities. As of December 31, 2004, the Company believes amounts potentially due have been fully provided for in its consolidated statements of operations.

The Company believes the positions reflected on its income tax returns are correct and intends to vigorously oppose any proposed adjustments to its returns. The Company has filed a protest with the Appeals Division of the Internal Revenue Service. No payment is due with respect to these matters during the appeal process. Interest currently is accruing on the disputed amounts at a rate of 6%, with the rate adjusted quarterly based on rates published by the U.S. Treasury Department. If taxing authorities were to ultimately prevail in their assertion that the Company incurred a tax obligation prior to the exercise dates of these options and it was required to make such tax payments prior to 2009 or 2010, and if any necessary financing were not available to the Company, its liquidity could be adversely affected.